

Sensex closing at a 84,059 high: For now, a reprieve

This week has ended on a note of economic **optimism**, with the Sensex closing at 84,059, its highest level since October 1. The rupee has recovered to 85.5 to the US dollar, after having **slid** to below 86.9 on June 19. **Brent crude prices**, too, have **softened** to about \$67 a barrel, after **soaring** to \$79-plus at the start of the week. And the southwest monsoon has revived, with all-India average rainfall during June 1-27 being 10.3 per cent higher than the historical normal for this period. That's a **turnaround** from the situation till June 15, when **cumulative** rainfall was 31 per cent below normal and 30 out of the country's 36 **meteorological** subdivisions had registered **deficits** in excess of 15 per cent. That **deficiency** is now largely **confined to** Telangana, Andhra Pradesh, Marathwada-Vidarbha, Chhattisgarh, Bihar and the Northeast region.

To be sure, these **optimistic cues** are less about **genuinely** positive expectations of the future than relief over the worst **apparently** being put behind. The **ceasefire** between Iran and Israel since October 24 **was preceded**, only a day before, by **the former** launching missiles at a US air base in Qatar and **threatening** to block the Strait of Hormuz — through which a fifth of the world's oil and a third of its liquefied natural gas flow. Those tensions have **ebbed**, for now. So have the uncertainties from the tariff war that US President Donald Trump **unleashed** in early April; they have seen some **de-escalation** with his administration **claiming** to have signed a **truce** deal with China. There has been a pause on the implementation of Trump's **so-called reciprocal tariffs** on other countries, including India, as well. But that three-month deadline ends on July 9. Simply put, there is only a temporary reprieve from the trade policy and **geopolitical strains** that may come back to **haunt** the global economy.

India must keep the focus on the medium term. That would mean ensuring **macroeconomic stability** (the best defence against short-term global financial market and commodity price **volatility**, linked to geopolitical events) and ease-of-doing-business reforms to **leverage** its strengths (favourable **demographics**, a large consumer base and a **potential** alternative for investors looking at a China-plus-one strategy of diversifying their manufacturing and supply chains). The Indian economy has **so far demonstrated** relative **resilience**, recording the highest growth among the world's major countries **amid elevated** global uncertainty. But India has to do well relative to not just the world, but to the **aspirations** of its young population and workforce — both current and those entering over the next couple of **decades**. **Navigating short-run** geopolitical uncertainty **may** be easier than meeting challenges and **seizing** opportunities beyond the immediate term.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Relieve** (noun) – Relief, respite, break, delay, postponement राहत
2. **Optimism** (noun) – Hopefulness, confidence, positivity, buoyancy, cheer आशावाद
3. **Slide** (to) (verb) – Fall, drop, decline, sink, slip गिरना
4. **Brent crude price** (noun) – refers to the price of Brent crude oil, a globally recognized benchmark for oil prices, particularly for light, sweet crude oil. ब्रेंट कच्चे तेल की कीमत
5. **Soften** (verb) – Ease, reduce, lessen, moderate, alleviate कम होना
6. **Soar** (verb) – Surge, rise, rocket, escalate, climb तेज़ी से बढ़ना
7. **Turnaround** (noun) – Reversal, recovery, improvement, transformation, change उलटफेर
8. **Cumulative** (adjective) – Total, combined, aggregate, collective, amassed संचयी
9. **Meteorological** (adjective) – Weather-related, climatic, atmospheric, forecasting, environmental मौसम विज्ञान से संबंधित
10. **Deficit** (noun) – Shortfall, shortage, insufficiency, lack, gap कमी
11. **Deficiency** (noun) – Lack, shortage, inadequacy, insufficiency, dearth अभाव
12. **Confine** (to) (verb) – Restrict, limit, constrain, enclose, narrow सीमित करना
13. **To be sure** (phrase) – Certainly, undoubtedly, indeed, truly, of course निस्संदेह
14. **Optimistic** (adjective) – Hopeful, positive, upbeat, confident, sanguine आशावान
15. **Cue** (noun) – Signal, hint, prompt, indication, suggestion संकेत
16. **Genuinely** (adverb) – Truly, really, honestly, sincerely, authentically वास्तव में
17. **Apparently** (adverb) – Seemingly, evidently, outwardly, ostensibly, reportedly प्रतीत होता है
18. **Ceasefire** (noun) – Truce, armistice, peace agreement, suspension of hostilities, cessation संघर्षविराम
19. **Precede** (verb) – Come before, lead, herald, forerun, go ahead पूर्व होना
20. **The former** (noun) – Here it refers to 'IRAN'.
21. **Threaten** (verb) – Menace, warn, intimidate, endanger, vow धमकी देना

22. **Ebb** (verb) – Diminish, recede, wane, subside, decline कम होना
23. **Unleash** (verb) – Release, trigger, set off, provoke, let loose शुरू करना
24. **De-escalation** (noun) – Reduction, easing, calming, relaxation, abatement तनाव में कमी
25. **Claim** (verb) – Assert, declare, state, maintain, allege दावा करना
26. **Truce** (noun) – Ceasefire, peace, agreement, armistice, settlement युद्धविराम संधि
27. **So-called** (adjective) – Supposed, alleged, nominal, professed, purported तथाकथित
28. **Reciprocal tariff** (noun) – a trade measure where one country imposes a tax or tariff on imported goods from another country in response to that same country imposing tariffs on its exports जवाबी शुल्क
29. **Geopolitical** (adjective) – International-political, strategic, global-affairs, diplomatic, foreign-policy भू-राजनीतिक
30. **Strain** (noun) – Pressure, stress, tension, burden, difficulty तनाव
31. **Haunt** (verb) – Trouble, plague, torment, bother, linger परेशान करना
32. **Macroeconomic stability** (noun) – refers to the ability of an economy to maintain a steady and balanced state, with low inflation, full employment, and sustainable economic growth.
33. **Volatility** (noun) – Instability, unpredictability, fluctuation, variability, inconsistency अस्थिरता
34. **Leverage** (verb) – Utilize, exploit, use, capitalize, harness उपयोग करना
35. **Demographic** (noun) – Population group, census group, population segment, statistical group, social group जनसंख्या समूह
36. **Potential** (adjective) – Possible, prospective, latent, promising, likely संभावित
37. **So far** (phrase) – Until now, up to this point, thus far, till now, to date अब तक
38. **Demonstrate** (verb) – Show, exhibit, display, prove, illustrate दिखाना
39. **Resilience** (noun) – Toughness, strength, endurance, adaptability, flexibility मज़बूती
40. **Amid** (preposition) – During, in the middle of, among, surrounded by, amidst के बीच
41. **Elevated** (adjective) – High, increased, raised, heightened, uplifted उच्च
42. **Aspiration** (noun) – Ambition, goal, aim, dream, desire महत्वाकांक्षा

43. **Decade** (noun) – Period of Ten years दशक

44. **Navigate** (verb) – Steer, manage, handle,
guide, pilot मार्गदर्शन करना

45. **Short-run** (adjective) – Immediate-term,
near-term, short-term, brief period,
temporary अल्पकालिक

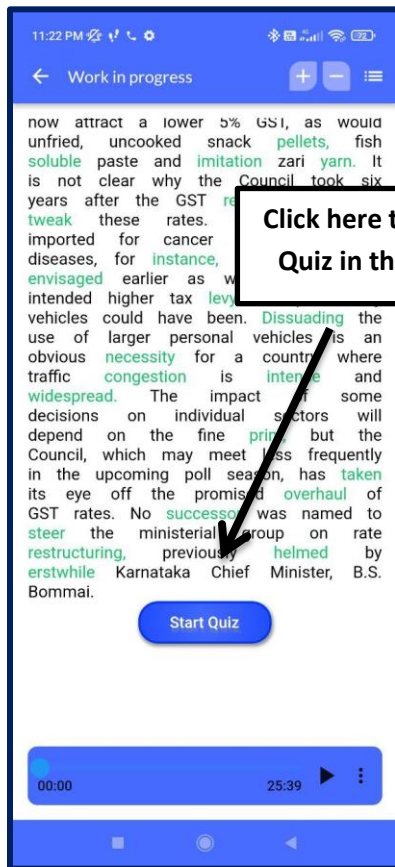
46. **Seize** (verb) – Grab, capture, take, grasp,
snatch अवसर को पकड़ना

@mocks_wallah

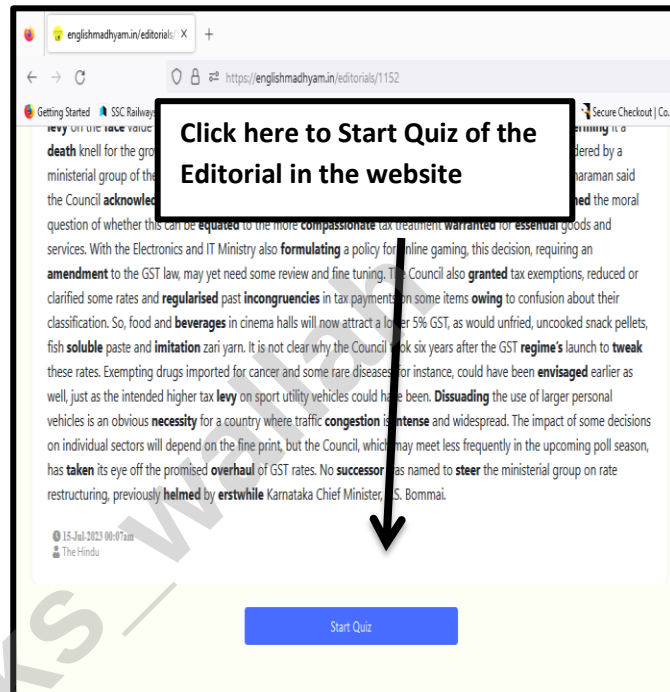
Summary of the Editorial

1. The Sensex ended the week at 84,059, its highest since October 1, signaling economic optimism.
2. The rupee recovered to 85.5 against the US dollar after earlier falling below 86.9 on June 19.
3. Brent crude prices softened to around \$67 per barrel, down from over \$79 earlier in the week.
4. The southwest monsoon revived significantly, with rainfall during June 1-27 being 10.3% above the historical average.
5. Until June 15, India faced a severe rainfall deficit, with 30 of 36 meteorological subdivisions reporting over 15% shortfalls.
6. The rainfall deficiency is now mostly limited to regions like Telangana, Andhra Pradesh, Marathwada-Vidarbha, Chhattisgarh, Bihar, and the Northeast.
7. Positive market cues reflect relief that recent crises appear to have eased, rather than genuine long-term optimism.
8. Tensions in West Asia subsided following an October 24 ceasefire between Iran and Israel.
9. Iran had escalated the conflict by attacking a US airbase in Qatar and threatening the crucial Strait of Hormuz.
10. Uncertainties from Trump's tariff wars have temporarily declined, with a claimed truce between the US and China.
11. The US has paused new tariffs on other countries, including India, but this pause only lasts until July 9.
12. The current reprieve from trade and geopolitical tensions may be short-lived, with risks of renewed instability.
13. India needs to focus on maintaining macroeconomic stability to shield itself from future global volatility.
14. Structural reforms for ease of doing business are essential for India to capitalize on its demographic advantages and attract investment as an alternative to China.
15. While India has shown resilience so far, it must sustain growth to meet the rising aspirations of its young workforce and remain competitive beyond short-term challenges.

Practice Exercise: Banking Pattern Based



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